

methods available to consumers. Moreover, fostering interoperability among various digital payment platforms, embracing open banking principles, and bolstering data security measures will fortify India's journey towards a less cash-reliant economy," says Vinod K. Singh, a tech expert.

Besides, on some parameters, there's still a lot to be done. "Data indicates that 78% of Indians own a bank account, but importantly, this is almost the same as it was in 2017. Thus, 22% of adults still remain unbanked, and the only medium of transaction for them is cash," says Indranil Pan, Chief Economist at YES Bank.

Pan says progress could be

critically linked to reducing the proportion of low-income households. "With a majority of cash transactions occurring in rural and semi-urban areas, there is a pressing need for a targeted initiative aimed at improving digital literacy. This initiative should focus on raising awareness and understanding of digital payment methods," says George John, Executive Vice President of IT and Operations at ESAF Bank. "Facilitating the shift towards a less cash-dependent economy involves providing incentives for businesses to adopt digital payment systems through streamlined processes. Collaboration among the government, banks, and fintech companies is pivotal for driving in-

novation within digital financial services to cater to diverse needs," says John.

FINTECH WATCH

Over the past few years, fintech or financial technology firms have aggressively pushed innovations in the payments and lending space. In fact, the top three players in UPI transactions are non-bank entities: GooglePay, PhonePe, and Paytm. As a result, this space has attracted considerable attention from the RBI, as innovations have far outpaced the speed of regulation.

The RBI has proposed the establishment of a self-regulatory organisation (SRO) for the fintech sector to encourage innovation

PLAN OF ACTION

INTERNATIONALISATION OF THE RUPEE:

Bilateral tie-ups with trade partners to reduce reliance on foreign currencies and elevate India's global economic standing

FINE-TUNING IBC: Much-

needed amendments to free up the resources of lenders, especially banks, discipline rogue promoters, and support the industry and economy

DIGITISATION AND LESS-CASH ECONOMY:

The acceptance of UPI as a payments tool and the upcoming credit on UPI are going to revolutionise digital payments and reduce cash in the system

SELF-REGULATORY ORGANISATION (SRO) FOR FINTECHS:

Establishment of an SRO for the fintech sector to foster responsible innovation and protect consumer interests

CBDC: Retail CBDC has the potential to change the payments landscape by offering faster, cheaper, and more secure transactions

